Recap: Bertrand Model

→ strategic price setting (identical goods)

ex. Demand: $P = 100 - Q$

each firm has $TC = 10q \rightarrow MC = 10$

incentives: undercut your rival

i.e. if your rival sets $p = 25$, your best response is $p = 24.99$

Bertrand Equilibrium: both firms set $P = 10$ (marginal cost)

Note: this is the efficient outcome!

"two is enough for a competitive market"

this result changes when products are differentiated

Cartels

Here, a cartel is a price fixing agreement

→ both would decide to charge the monopoly price

$P_1 = P_2 = 55$ in this example

→ very large incentive since Bertrand Equilibrium involves zero profit

→ cheating incentive is even larger (setting a price of \$54.99)

↳ captures the entire market and makes almost monopoly profit

Midterm Exam

4 questions

1. short explanations
2.-4. calculations